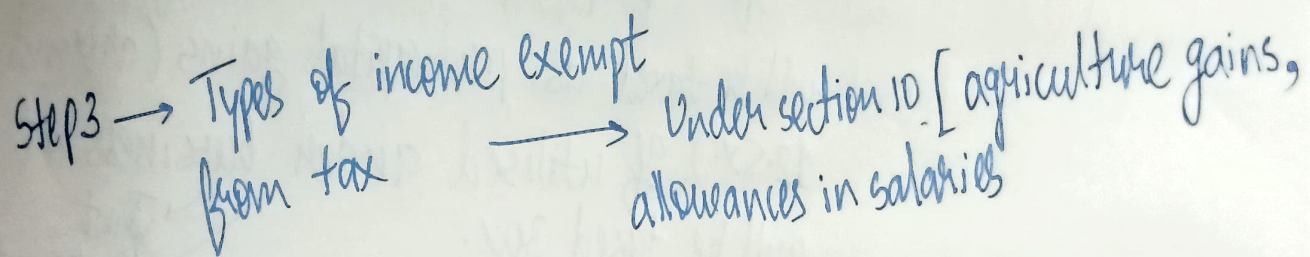
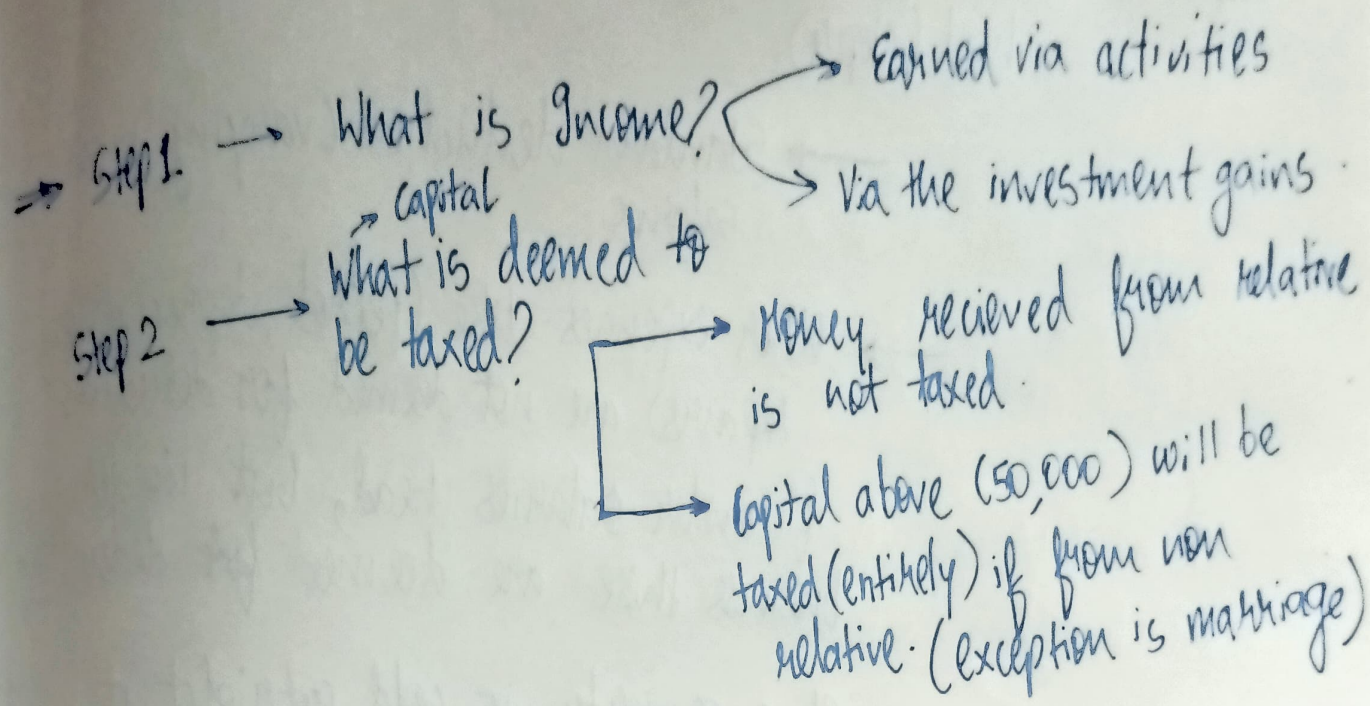
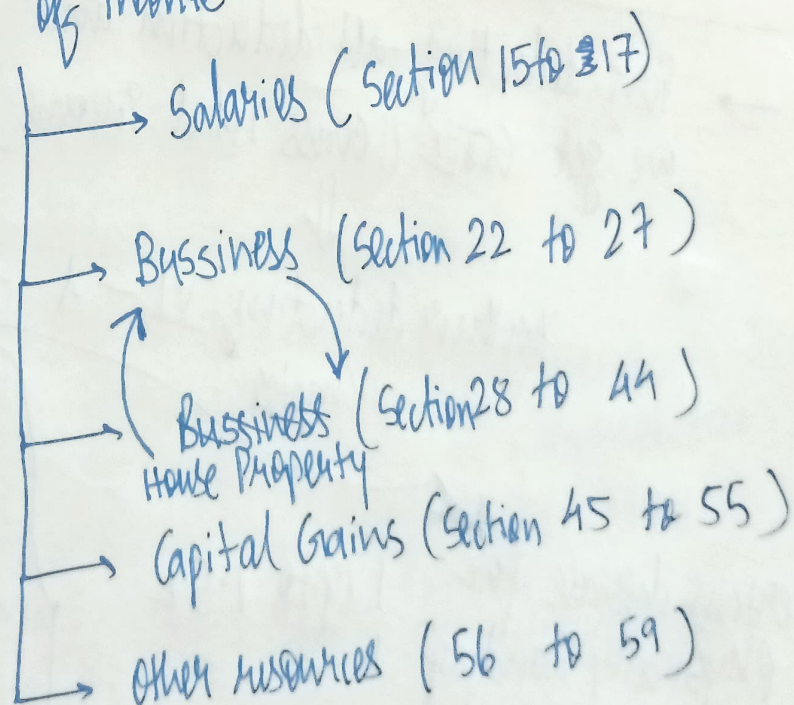


Legal Tax Aspects of Business



Step 4 → Division of income.



Step 5 → claim deduction under each head (Step 4)

→ Standard deduction (varying) on salaries

→ Other expenses like (petrol, depreciation, repairs) are not deemed for deduction if under salaries head, but under business these are deemed for deduction

→ If a property is sold outright it will be taxed as per capital gains (around 12.5%). If utilised under business it will be taxed 30%.

→ Joint development

Step 6 → Post deducting all deduction and adding we get GTI (Gross Total Income)



Further deduction VI - A → 80C - 80D

Chapter

Certain disease for physically handicap

Upto 1.5L

Provident Fund
Insurance (LIC)
Mutual Fund
Loan (House)

→ Capital amount
NPS

$$\rightarrow \text{GTI} - \text{Deduction under 80C \& 80D} = \text{Net Taxable Income}$$

Step 8 $\rightarrow$ Income Tax Slabs

Upto 12L of taxable income, rebate under Section 87

0 - 4L	$\rightarrow$ 0%
4 - 8L	$\rightarrow$ 5%
8 - 12L	$\rightarrow$ 10%
12 - 16L	$\rightarrow$ 15%
16 - 20L	$\rightarrow$ 20%
20 - 24L	$\rightarrow$ 30%

— Tax deducted at source (For salaries)

EPFO (taxable if withdrawn before 5 years)

Dividend gains

— Tax for Business as a advance tax.

15-Jun — 15%

15-Sept — 30%

15-Dec — 30%

15-Mar — 25%

$\rightarrow$?

2nd Lecture

- Section 68 records cash credit or loan taken
↳ Personal
(Not from bank, NBFC)

loan taken in a manner where cash is given by converting it as a loan is concealed income taxed at 60% under section —

- 69 & 69A is for investment (like gold, silver and other or a house)

- Unexplained expenditure — Marriages how is the income, foreign travel, domestic travel under 69C.

* Who is liable to pay tax.

- ① — Individuals —
Sole Proprietor — (20)
- ② — Partnership firm — Two or more individual for a firm. Income is liable to tax at 30%.
Partners are exempt from tax. Profits are divided as per investment. Salaries are taxed upto certain limit.
- ③ Companies — All types of companies are taxable. 8 years of losses can be carried forward.

(4) Hindu Undivided Family — Ancestral property or income is taxed separately and can be applied to a business. A 'Karta' (individual handling HUF) will file business along with his own income separately.
(rent on a building)

(5) E.AOP (Association of Persons) :- Charitable trust have to pay at highest level. Other trust with a pool of fund will be taxed.

Family trust :- Set law will be a person who put all asset under the trust (family) and will appoint trustee for taxation, based on the ratio decided the income will be distributed to beneficiaries, as per trust deed.

(6) Section 11 Charitable trust :- Medical, Preservation, Education, Poverty or any activity for benefit of general public. They have to spend around 85% for all profitable trust (like tata sons) or it is taxed at 30%. Registered under Maharashtra trust Act & Section 12 of Income Tax Act. Public *

Co-operative housing society will contribute $\frac{1}{2}$ monthly, yearly seed of fund (say for housing society) and will be liable to tax as per Societies Act.

* For hospital, education charitable trust as per section 10 (10-B), College, school are exempted from tax)

- Section 13A for politician donation

(#) Artificial Judicial Entity :- Entity which is ~~situated~~ ^{situated in} India (deities). Person entitled to care are entitled to pay tax as per individuals.

Residential Status : — → 2 condition

ROR :- Resident & Ordinary resident

→ For every FY → In India for more than 365 for 4 preceding FY year. then

If you are in India for more than 59 days in current FY this year.

→ exception. If you go out of India for employment then ~~it~~ instead of 59 it will be ¹⁸² ~~182~~ days.

He/she will be taxed as per his world income in India. If left before 27th Sept, not liable then to tax (Not Resident)

From 2nd year onwards the aggregate should not exceed 181 days (for as many trip you want)

RNOR: - Resident but Not ordinary Resident: - A person who is has been a non resident for last 7 years out 9 years will be a RNOR. Tax to be paid on Indian income for a period of 2 years not on foreign income. Can be kept outside India (under FEMA act) This income will not be taxed till 2 years.

Section-15: - A employer and employee relationship should be there for a taxation under salaries, based on a contract. Post which your income is taxed under salaries head.

- Salary means any remuneration received for your services. Anything else received is not taxable eg a capital receipt (any reward received as a appreciation)

- All salaries, received or due in the FY is taxable. whichever early

- As per section 192, salary^(Tax) is to be deducted at source, If the employer acknowledges the pending salaries, but if capital is not available, the salaries have to be paid from own pockets. (eg Jet-Airways).

- Salaries include

- wages

- Bonuses

- gratuity

- Profits in lieu of salary. (Section-17)
(After retirement, before employment
or any modification)
(Joining, signing bonus)

VRS → Voluntary Retirement Scheme: - Compensating for future salary and reduce staff strength and is liable of tax.

* While compensation paid as to give the right of future income (own business) is not taxable.

⇒ Deductions other than std deduction (section 16) are not entertained for other expenses in course of employment.

* Allowances / Exemption / Deduction under section 10

- Total Salary 50,000

- 20,000 (Basic salary)
- 30,000 (Allowances) (Subject to conditions)

leave encashment, gratuity, EPFO all will be calculated on basis of Basic salary

Travel

Leave allowances: i] Travel only on a leave (section 10-5)

ii] Travel only in Indian

iii] Any mode with proper proof iv] Allowances covers family, dependents.

[At 10(13-A), HRA] →

Condition 1- You must pay house rent
So, if buy own property, company gives HRA

Because they want to reduce their cost contributions

Need → PAN No. of landlord

Q. Are you paying rent in excess of 10% of your salary

→ If rent within 10% of salary, no HRA

∴ It must exceed 10% to obtain HRA

or else rent is exempted from taxes

Yo!!! ☺

If we want exemption it must
exceed 10% of your salary.

Understood

Section - 10(14) → Provision says

Certain allowance are exempted
Provided you spend allowance
on papers

1st → Conveyance Allowance →

Exempted from tax,
provided you spend money for
conveyance (travel)

Covered only the travel for work

by 10 months.
- Gratuity : — Half month salary as per every completed year of service. Can be withdrawn post 5 years of service only upto 20 Lakhs is exempt

- Leave encashment : — Section 10-10AA subject to this about 10 months of leave can be encashed or about 10 Lakhs is exempt.

- When a company gives loan at $x\%$ and SBI gives a similar loan at $y\%$.
then - $y\% - x\% \rightarrow$ perquisite value $\rightarrow$ taxable.

Income from House Property (Section 22 to 27 of ITA)

Section 22 - Any income arising from ownership of any property (house/commercial/industrial) is liable to tax based on rent that is received or annual value of the property, whichever is higher.

Section 23 - Exemption only in case of self-occupation.

Under section 23, ~~deduction~~ if property not rented - expected rent is taxable
if - is rented - actual/expected whichever is higher

Section 24 - $\frac{1}{6}$ of annual rental value is deductible - standard deduct.

Brought a property by taking a loan, the interest which you pay is allowed as deduction but it is current restricted to 2 lakh per annum.
↓
to cover maintenance expenses

• Co-ownership - A property can be held by one or more people.

A co-owner is the one who contributes towards the expenses of the property. In whatever proportion is the expense/loan taken divided, that is the same ratio in which they get deduction for interest on the loan.

Section 28 - The profits/gains of a business/are taxable under this section from the yr in which the business commences & the business has to be carried on. Business is defined to be any adventure in a season of trade & commerce or manufacture. (Section 2(13))

- Income tax shows both depreciation and income tax separately. Depreciation can be carry forward indefinitely. Whereas business losses (unabsorbed) can be carry forward for 8 years.
- Section 72(A) :- Business loss & unabsorbed depreciation of amalgamating company can be taken into ~~cost~~ consideration if
 - i) All assets are transferred.
 - ii) 75% of shares are taken over.
 - iii) Business is continued for next 5 years.
- Under 115JB, where a % of profit will be taxed to avoid tax company. MAT arises on book profit.
- Closing Stock Valuation:- Closing stock's value based on cost basis, cost plus basis has to be decided and kept the same in order to calculate profits (also the closing stock) of one F.Y will be opening stock of next F.Y.
- Depreciation:- Straight line and Flexible Method.

- Income tax depreciation is fixed based on the goods for all companies / sectors.

Value $< 10,000$ has zero depreciation and can be written off.

- Capital expenditure :- Any asset which gives enduring advantage will be taxed (eg land taken on lease)